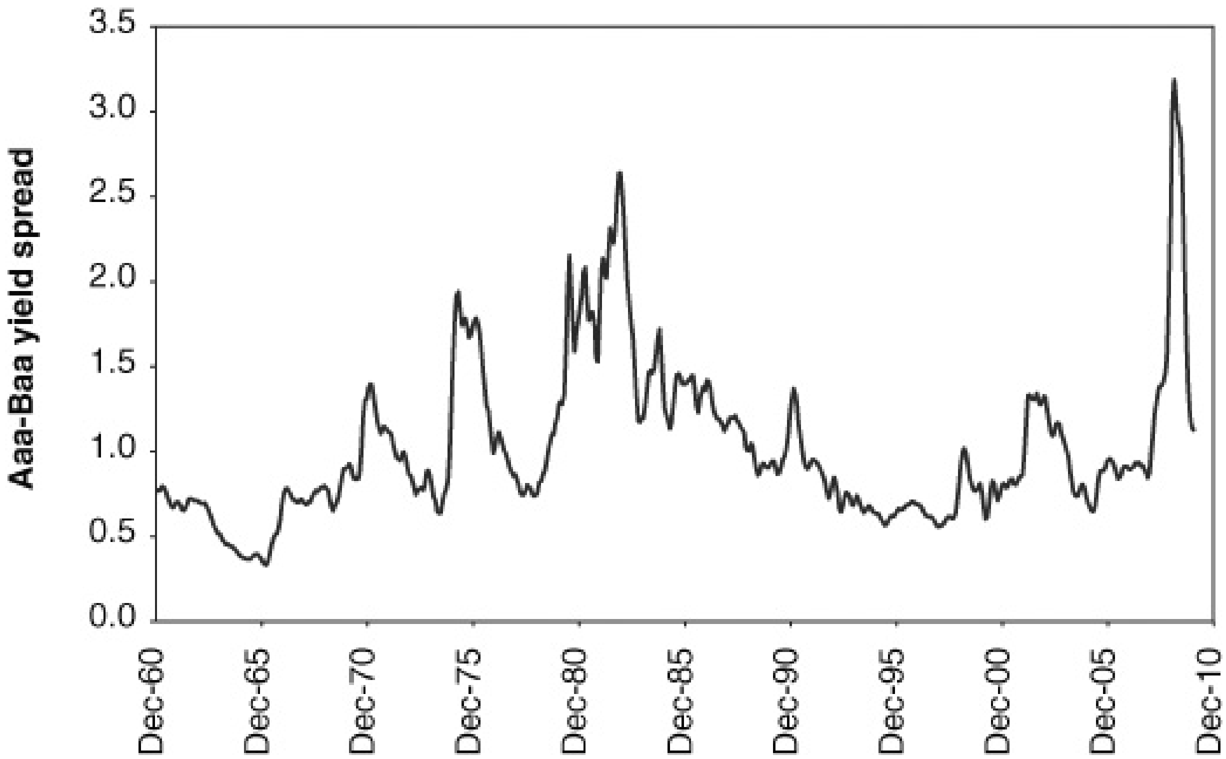

Some people believe that credit spreads widen and narrow for the same reasons that stocks go up and down. As a result, they say that using corporate bonds in a portfolio is nothing more than increasing the equity risk in a portfolio. While there are times when credit risk has a positive correlation with equity returns, the relationship is not consistent.

Figure 8-5 illustrates the rolling 12-month correlation between excess return on investment-grade bonds and excess return on equities (credit risk premium to equity risk premium). The credit risk premium is calculated by subtracting the monthly return on the Barclays Capital Intermediate-Term Treasury Index 1–10 Years from the return on the Barclays Capital Intermediate-Term Credit Index 1–10 Years. The equity risk premium is calculated by subtracting the return on Treasury bills from the return on the CRSP 1–10 Total Stock Market Index. Measuring the correlation between these two returns tells us if there is a relationship between them.

The average 12-month correlation between the credit risk premium and the equity risk premium suggests that *at times* the credit risk is related to the same factors affecting equity returns and that those times are particularly strong at the onset of an economic downturn. At other times there is no correlation, and on rare occasions there is a slight negative correlation. The timing of the positive correlation between equities and